January 2012 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Functions of a business

Outline TWO functions of a business. (4 marks)

Production of goods and services

A business combines resources such as land, labour, capital and enterprise to produce goods or services that satisfy the wants of consumers. For example, a bakery uses flour, ovens and skilled bakers to produce bread that families buy for their daily meals.

Creation of jobs and income

By hiring workers and paying suppliers, a business gives people the chance to earn wages and salaries. The owners themselves earn profit, while the government earns tax revenue from the business, all of which raises the standard of living in the community.

1(a)(ii) Sole proprietorship vs partnership

State TWO ways in which a 'sole proprietorship' is different from a 'partnership'. (4 marks)

Number of owners

A sole proprietorship is owned by only one person who supplies the capital and runs the business. A partnership is owned by between two and twenty persons who pool their capital and skills together to run the business.

Sharing of profits and decisions

In a sole proprietorship, all profits and losses belong to the one owner, who also makes all the decisions. In a partnership, profits, losses and decision-making are shared among the partners according to the partnership agreement.

1(b)(i) Definition of franchise

Define the term 'franchise'. (2 marks)

A franchise is a business arrangement in which one person or company (the franchisee) is given permission, in return for a fee, to use the name, trademarks, products and business system of another well-known company (the franchisor) to operate his or her own branch of that business.

1(b)(ii) Popular franchises

Identify FOUR popular franchises. (4 marks)

- KFC (Kentucky Fried Chicken).
- McDonald's.
- Subway.

- Burger King.

1(c) Advantages of operating a franchise

Discuss TWO advantages of operating a franchise. (6 marks)

Use of an established brand and customer base

When a person opens a franchise of a well-known company such as KFC, the business already has a famous name, logo and a loyal group of customers who recognise and trust the brand. This means that customers begin to come from the very first day, sales are high from the start and the franchisee does not have to spend many years building a reputation, which greatly reduces the risk of failure.

Training and ongoing support from the franchisor

The franchisor provides the franchisee with full training in how to run the business, including production methods, customer service, accounting and marketing. The franchisor also gives ongoing help with advertising, supplies and quality control. Because the franchisee benefits from the experience and proven systems of the parent company, mistakes are avoided and the business can be run more profitably than a brand new one started from scratch.

Question 2

2(a)(i) Reasons for documenting transactions

Mr Jones bought five hours of scuba instructions from Sun and Sand Resort using the Internet. Mr Jones paid by credit card, and Sun and Sand Resort confirmed receipt of payment by e-mail. State FOUR reasons for documenting business transactions. (4 marks)

- To provide written proof that the transaction took place in case of any dispute between the parties.
- To allow the business to keep accurate records that can be used to prepare the final accounts and calculate profit or loss.
- To meet legal requirements such as the keeping of records for income tax and VAT inspection.
- To help managers track sales, payments and stock so that better decisions can be made about ordering and pricing.

2(a)(ii) Instruments of payment

Identify THREE instruments of payment, other than a credit card. (3 marks)

- Cash (notes and coins).
- Cheques drawn on a current account.
- Debit cards used at the point of sale.

2(b)(i) Definition of contract

Define the term 'contract'. (2 marks)

A contract is an agreement between two or more persons that is recognised and enforced by law. Once all the requirements of a valid contract are present, either party can take the other to court if the agreement is broken.

2(b)(ii) Type of contract

Identify the type of contract entered into by Sun and Sand Resort, and Mr Jones. (1 mark)

The type of contract entered into is a simple contract made through the internet, which is a written contract formed online by the offer made by Sun and Sand Resort, the acceptance and payment by Mr Jones, and the e-mail confirmation from the resort.

2(b)(iii) Ways the contract may be terminated

State FOUR ways in which the contract between Sun and Sand Resort, and Mr Jones may be terminated. (4 marks)

By performance
The contract ends when Sun and Sand Resort has provided all five hours of scuba instructions and Mr Jones has paid the full price, so both parties have done what was promised.

By mutual agreement
Both parties may freely agree to cancel the contract before it is fully carried out, for example if Mr Jones cannot attend and the resort agrees to refund the payment.

By breach of contract
If either party fails to do what was agreed without a lawful reason, such as the resort refusing to provide the lessons, the contract is brought to an end and the other party can sue for damages.

By frustration or impossibility
If something happens after the contract is made that makes it impossible to carry out, such as a hurricane that destroys the resort, the contract is discharged because neither party can perform.

2(c) Legal concepts

With reference to the relationship between Mr Jones, and Sun and Sand Resort outlined above, explain the following legal concepts: (i) Offer and acceptance; (ii) Consideration. (4 marks; 2 marks)

(c)(i) Offer and acceptance

Offer is a clear statement by one party that he or she is willing to enter into a contract on certain terms. Acceptance is the unconditional agreement of the other party to those exact terms. In this case, Sun and Sand Resort made an offer on its website to provide five hours of scuba instructions for a stated price. Mr Jones accepted that offer when he placed the order over the internet and paid by credit card. The e-mail confirmation from the resort showed that the offer and acceptance had taken place, so a binding contract was formed.

(c)(ii) Consideration

Consideration is something of value that each party gives to the other in exchange for what is being received. In this case, the consideration provided by Mr Jones is the money paid by credit card, while the consideration provided by Sun and Sand Resort is the promise to deliver five hours of scuba instructions.

Question 3

3(a) Definition of resources

Sally Brown has the potential to be a very good entrepreneur. She is making arrangements to start a business using local resources. Define the term 'resources'. (2 marks)

Resources are the inputs or factors of production that a business uses to produce goods and services. They include natural resources (land), human resources (labour), man-made resources (capital) and the entrepreneurial skill needed to combine them.

3(b)(i) Types of resources for Sally

Identify TWO types of resources that are important to Sally Brown in starting her business. (2 marks)

- Capital, such as money, equipment and tools used to set up and run the business.
- Human resources, such as Sally herself and any workers she may hire.

3(b)(ii) Importance of each resource

Explain the importance of EACH resource to the business. (4 marks)

Importance of capital

Sally needs capital to buy the premises, equipment, raw materials and stock that the business will use. Without enough capital, she cannot start operations or pay her bills in the early months before sales build up.

Importance of human resources

Sally and any workers she hires are the people who actually produce the goods and serve the customers. Skilled and motivated human resources will produce better quality and more output, while poor staff will lead to errors, complaints and lost sales.

3(c) Factors when choosing a location

Outline THREE factors that Sally should consider when choosing a location for her business. (6 marks)

Closeness to customers and good transport

The site should be near the people who will buy from Sally, on a busy road that is easy to reach by bus or car. A location with steady foot traffic will bring in more customers and make daily deliveries easier and cheaper.

Cost of rent, taxes and utilities

Sally needs to compare the cost of rent, property tax, electricity and water at different sites with what her

business can afford. A site that is too expensive will eat up her profits, while a cheaper but suitable site will keep costs under control.

Closeness to suppliers and raw materials

If Sally locates close to her suppliers, she will save money on transport and can replenish stock quickly when needed. This is especially important if she is using local resources, since being near the source keeps the raw materials fresh and reduces waste.

3(d) How the country may benefit

Discuss TWO ways in which the country may benefit from the opening of Sally's new business. (6 marks)

Creation of jobs and reduction of unemployment

Sally's new business will hire workers to help with production, sales and delivery. The wages earned will allow these workers to support their families, which raises household incomes and reduces poverty. As more workers are pulled out of unemployment, the country saves money on welfare and benefits from a stronger workforce.

Increase in government revenue and economic growth

Sally's business will pay company tax, VAT, licence fees and other charges to the government, giving it more money to spend on schools, roads and health care. The goods produced add to the country's Gross Domestic Product, and if any are exported they bring in foreign exchange. All these effects help the economy to grow and develop.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a)(i) Customer satisfaction

Explain the term 'customer satisfaction'. (2 marks)

Customer satisfaction is the feeling of pleasure that a customer experiences when the goods or services received from a business meet or go beyond what was expected. A satisfied customer feels that he or she has received good value for money and is more likely to buy from the same business again.

4(a)(ii) Ways to ensure customer satisfaction

State TWO ways in which a firm can ensure customer satisfaction. (2 marks)

- Selling goods and services of high and consistent quality at a fair price.
- Providing courteous, well-trained staff who serve customers quickly and handle complaints fairly.

4(b) Responsibilities of management to customers

Outline THREE responsibilities of management to customers. (6 marks)

To provide safe and good quality products

Management has a duty to make sure that the goods and services sold to customers are safe to use and are

of the quality promised on the label or in the advertisement. This protects customers from harm and from being cheated.

To charge fair prices and give correct information

Management must set prices that match the value of the product and must give customers honest information about the features, ingredients and uses of the product. Misleading customers or charging unfair prices damages trust and the reputation of the business.

To handle complaints and provide after-sales service

When a customer is unhappy or a product develops a fault, management has a duty to listen, investigate and offer a fair solution such as a refund, replacement or repair. Good after-sales service builds customer loyalty and word-of-mouth recommendation.

4(c) Roles of consumer protection organisations

Explain the role of EACH of the following organizations in consumer protection: (i) Bureau of Standards; (ii) Consumer Affairs Commission. (4 marks)

(c)(i) Bureau of Standards

The Bureau of Standards sets and enforces national standards for the quality, safety and labelling of goods produced or imported into the country. It tests products such as foods, cosmetics, electrical items and building materials, and stops the sale of any goods that do not meet the standards. This protects consumers from buying unsafe or fake products.

(c)(ii) Consumer Affairs Commission

The Consumer Affairs Commission educates the public about their rights and duties as consumers and investigates complaints made against businesses. It helps consumers to get refunds, replacements or compensation when they have been mistreated and works with government to improve consumer protection laws.

4(d) Factors that influence consumer behaviour

Discuss TWO factors that influence consumer behaviour. (6 marks)

Income of the consumer

The amount of money that a consumer earns has a major effect on what and how much he or she buys. Consumers with high incomes can afford luxury goods and brand names, while those with low incomes spend most of their money on basic items such as food, shelter and clothing. When incomes rise, consumers tend to buy more goods and to switch to higher quality brands, which is why businesses adjust their products and prices to suit different income groups.

Advertising and influence of family and friends

Advertising on television, radio, billboards and social media tells consumers about new products and tries to persuade them to buy. Strong advertising can change attitudes and create wants for products that the consumer did not even know about. The opinions of family, friends and popular figures also influence what consumers buy, since people often want to fit in or to copy those they admire.

Question 5

5(a)(i) Reasons for closing a commercial bank

A Central Bank can 'close down' the operations of commercial banks for a number of reasons. Outline TWO reasons why a Central Bank may decide to 'close down' a commercial bank. (4 marks)

Failure to keep the required reserves

Every commercial bank must keep a minimum amount of cash on hand and on deposit at the central bank. If a commercial bank fails to keep these reserves, depositors may not be able to withdraw their money on demand. The central bank may close such a bank to protect depositors and the wider banking system.

Insolvency or fraud

If a commercial bank's losses become greater than its capital, or if it is found to be involved in fraud, money laundering or other illegal acts, the central bank may decide to close it down. This protects customers, the reputation of the financial system and the economy.

5(a)(ii) Actions to prevent closure

Explain THREE actions that a commercial bank could take in order to prevent closure by a Central Bank. (6 marks)

Maintain the required cash and capital reserves

The bank can carefully manage its cash, deposits and loans so that the legal minimum reserves are always kept at the central bank. By doing this, the bank stays within the rules and avoids the threat of being closed down.

Lend money carefully and recover bad debts

The bank should check the creditworthiness of every borrower before lending and should follow up to make sure that loans are repaid on time. Strong credit policies reduce bad debts, protect the bank's profit and keep it financially strong enough to continue operating.

Strengthen internal controls and follow regulations

The bank should put in place strict internal controls, audit checks and training for staff so that fraud, errors and money laundering are prevented. Following all the rules of the central bank and reporting honestly will keep the bank in good standing and avoid action being taken against it.

5(b) Sources of financing other than commercial banks

Identify FOUR sources, other than commercial banks, from which firms can acquire financing. (4 marks)

- Personal savings of the owners and contributions from family and friends.
- Credit unions and co-operatives that lend to their members at low interest rates.
- The stock market, where companies raise long-term capital by issuing shares to the public.
- Government agencies and development banks that provide grants and low-interest loans to small businesses.

5(c) How the stock market performs its role

Discuss TWO ways in which the stock market performs its role effectively. (6 marks)

Helping companies to raise long-term capital

The stock market provides a place where public limited companies can sell shares and bonds to a large number of investors. By doing this, companies are able to raise large sums of long-term capital that they can use to build factories, buy equipment or expand into new markets. Without the stock market, it would be very hard for big businesses to find this much money in one place, so the stock market is a key source of growth.

Allowing investors to buy and sell shares easily

The stock market provides a regulated place where existing shares can be bought and sold quickly between investors. This means that an investor who needs cash can sell shares and someone who wants to invest can buy shares without having to find a private buyer or seller. The fair pricing and openness of the market also gives investors confidence that the prices they pay or receive are based on current information about the companies.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Direct and indirect taxes

Explain the terms 'direct taxes' and 'indirect taxes', giving ONE example of EACH type of tax. (6 marks)

Direct taxes

A direct tax is a tax that is paid directly to the government by the person or business on whom it is charged. The taxpayer cannot easily pass the burden on to anyone else. Examples include income tax, which is taken out of a worker's salary, and company tax, which is paid by businesses on their profits.

Indirect taxes

An indirect tax is a tax that is charged on goods and services and is paid through an intermediary, usually the seller, who then passes the burden of the tax on to the final consumer in the form of higher prices. Examples include Value Added Tax (VAT) and customs duties on imported goods.

6(b) Purposes of taxation

State TWO purposes of taxation. (2 marks)

- To raise revenue for the government to provide public services such as health, education and roads.
- To redistribute income from the rich to the poor and to discourage the consumption of harmful goods such as alcohol and tobacco.

6(c)(i) Regressive vs progressive taxation

In a recent budget presentation, a Minister of Finance announced a decision to increase taxes on alcohol and tobacco. A leading financial commentator condemned this measure, claiming that such taxes are regressive. Distinguish between 'regressive taxation' and 'progressive taxation'. (4 marks)

Regressive taxation

Regressive taxation is a system in which the lower a person's income, the higher the share of that income paid in tax. Indirect taxes such as VAT and excise duties on alcohol and tobacco tend to be regressive because everyone pays the same amount per item, but that amount makes up a larger share of a poor person's income than of a rich person's income.

Progressive taxation

Progressive taxation is a system in which the higher a person's income, the higher the rate at which that income is taxed. Personal income tax with rising rate bands is the most common example, since people with very high salaries pay a larger share of their income in tax than those with low salaries.

6(c)(ii) Reason for progressive tax system

Outline the MAIN reason in favour of a progressive tax system. (2 marks)

The main reason in favour of a progressive tax system is that it is fair. People who earn high incomes have a greater ability to pay tax than those who earn low incomes, so they should contribute a larger share of their income. This also helps to reduce inequality, since the extra tax from the rich is used to provide services for the poor.

6(c)(iii) Reasons for taxing alcohol and tobacco

Discuss TWO reasons why government may impose taxes on alcohol and tobacco. (6 marks)

To discourage consumption of harmful goods

Alcohol and tobacco are harmful to health and lead to diseases such as cancer, liver damage and addiction. By placing high taxes on these goods, the government raises their prices, and consumers tend to buy less. Lower consumption protects the health of citizens and reduces the cost to the public health system, which has fewer cases of alcohol- and tobacco-related illness to treat.

To raise revenue for the government

Alcohol and tobacco have many heavy users who continue to buy these goods even when prices rise, so the demand is fairly inelastic. This means that taxes on these items earn the government large and steady amounts of revenue. The money raised can then be used to fund hospitals, schools and other public services that benefit the whole society.

Question 7

7(a) Reasons countries trade

State TWO reasons why countries trade with each other. (2 marks)

- To obtain goods and services that they cannot produce themselves or cannot produce in large enough quantities.
- To sell their surplus output to earn foreign exchange and to take advantage of the differences in resources, climate and skills between countries.

7(b) Definitions

Define EACH of the following terms: (i) Specialization; (ii) Balance of trade; (iii) Globalization. (6 marks)

Specialization

Specialization is the process by which a person, business or country concentrates on producing only those goods or services in which it is most efficient, and trades with others to obtain the items it does not produce. This raises total output and lowers cost.

Balance of trade

The balance of trade is the difference between the total value of a country's visible exports (goods sold to other countries) and the total value of its visible imports (goods bought from other countries) over a period of time. If exports are greater than imports, the balance is favourable; if imports are greater, the balance is unfavourable.

Globalization

Globalization is the process by which the economies, cultures and people of countries around the world are becoming more closely linked through trade, investment, travel, technology and communication. As a result, goods, money, ideas and people now move across borders much more easily than before.

7(c) Features of regional and international institutions

State TWO features of EACH of the following institutions: (i) Organization of Eastern Caribbean States (OECS); (ii) Caribbean Community (CARICOM); (iii) World Trade Organization (WTO). (6 marks)

(c)(i) Organization of Eastern Caribbean States (OECS)

- It is made up of nine small island states in the Eastern Caribbean such as St Lucia, Grenada, Dominica and St Vincent.
- Most of its members share a common currency, the Eastern Caribbean dollar, and a common central bank.

(c)(ii) Caribbean Community (CARICOM)

- It groups together the English-speaking Caribbean countries (and Suriname and Haiti) to promote economic integration through the CARICOM Single Market and Economy.
- It coordinates the foreign policy of member states and provides functional cooperation in areas such as health, education, disaster preparedness and culture.

(c)(iii) World Trade Organization (WTO)

- It is a global organisation with over 150 member countries that sets the rules for international trade in goods and services.

- It provides a place where member countries negotiate trade agreements and settle trade disputes through panels and an appeals body.

7(d) Challenges of a single market and economy

Discuss TWO challenges faced by Caribbean economies in creating a single market and economy. (6 marks)

Differences in the size and strength of member economies

The economies of CARICOM countries vary widely in size, structure and level of development. Larger countries such as Trinidad and Tobago and Jamaica have stronger industries, while smaller islands depend mainly on tourism and a few exports. Because of this gap, businesses in stronger countries can outsell those in weaker countries when trade barriers are removed. The smaller economies fear that they will lose jobs and tax revenue, which makes them slow to fully open their borders.

Free movement of skilled workers and capital

A true single market requires that workers and money be able to move freely from one member country to another. In practice, immigration laws, work permit rules and the fear of brain drain have made it hard to allow free movement of all skills. Concerns about loss of jobs and pressure on social services in the receiving country slow the process down. As a result, the benefits of a true single market have not yet been fully realised.